Before the
UNITED STATES COPYRIGHT OFFICE
Library of Congress
Washington, D.C.

In the Matter of:	)	
	)	**Docket No. 2015-6**
Software-Enabled Consumer Products Study	)	

<u>Comments of Static Control Components, Inc.</u>

Static Control Components, Inc. ("Static Control") appreciates the opportunity to comment upon the issue of software-enabled consumer products. This issue permeates the consumer products industry, especially in our field of printer supplies and components where the ability to have interoperability and repair parts is paramount. The Copyright Office requested comments in its Notice of Inquiry dated December 15, 2015 in the United States Federal Register, Volume 80, Number 240, pages 77668 – 77672 and Static Control is focusing its comments on fifth general topic and fifth specific issue posed by the Copyright Office.

I. Summary of Recommendation

Static Control recommends legislative action to prevent the use of contracts to expand the scope of intellectual property rights such as copyrights after the first sale of a product containing patented or copyrighted materials.

II. Background

Static Control began in 1987 and is headquartered in Sanford, North Carolina. Static Control currently employs approximately 800 workers and manufactures and sells printer components and supplies, including microchips that it sells to third-party companies for use in repair of toner and inkjet cartridges. Static Control understands all too well the Copyright Office's request for comments and need for clarity on the listed topics, especially how copyright law intersects with other law in establishing how products that rely on software to function can be lawfully used. Static Control has been involved in complex litigation concerning copyright, patent, contract, anti-trust and false advertising.

In 2002 Lexmark Static Control was sued by Lexmark International, Inc. ("Lexmark").[1] Lexmark is a large publicly traded corporation headquartered in Lexington, Kentucky that has sold printers and cartridges for its printers since 1991. Lexmark sued Static Control under three copyright based theories of liability: violation of the copyright statute, 17 U.S.C. § 106, by reproducing the "Toner Loading Program" ("TLP") in Static Control's SMARTEK chip; violation of the Digital Millennium Copyright Act ("DMCA") by selling a product that

[1] *Lexmark International, Inc. v. Static Control Components, Inc.*, 387 F.3d 522 (6th Cir. 2004).

circumvents access controls on the TLP; and violation of the DMCA by selling a product that circumvents access controls on the "Printer Engine Program" ("PEP").[2]

The Sixth Circuit Court of Appeals vacated the injunction and held that the TLP on the microchips was a lock-out code and thus not a copyrightable work due to the merger and *scènes à faire* doctrines.[3] Although the Court found the work uncopyrightable and did not need to address the fair use defense raised by Static Control, it did so solely for the purpose of clarifying the application of the fair use doctrine.[4] While the district court had correctly outlined the factors required, it failed to properly apply the factors to the facts at hand.[5] It is this lack of certainty that legislation is needed to correct. Clear guidance would reduce cost and litigation.

This legislation should clarify that companies cannot use copyright law coupled with lockout codes to restrict competition in replacement parts. Lexmark, and corporations like it, attempt to use copyright law as a weapon to burden their competition with defending themselves in litigation to hide their anti-competitive conduct and fall back on the shields of contract law and patent law when their copyright claims fail. They do so because of the breadth of copyright protection and the onerous task of overcoming the validity of a copyright once it is granted.[6]

III. Intersection of Copyright Law with Other Laws and the Impact of Agreements on Lawful Use [General Topic 5, Specific Issue 5]

Intellectual property owners attempt to use contracts to give themselves rights under copyright and patent law that they could not give themselves by contract alone. For example, the Lexmark created something it called the "Prebate program". The program was a label placed on their cartridges that purported to be a contract between Lexmark and the end user of the cartridge. The label further claimed that this contract was that type of contract known as a patent license. Normally a contract is enforceable against the parties, but not (with limited exceptions) against third parties. Lexmark, however, has never sought to enforce any if its contracts against end users. Instead, Lexmark has sued numerous competitors for patent infringement, based on its claim that the contract prevented its patent rights from being exhausted after the sale. What is worse, is the Federal Circuit has recently upheld this program in part.[7]

Lexmark is not alone in its tactics as many companies require consumers to accept agreements in order to use their products. Virtually all products have patents or copyrights associated with them. This is particularly true with any consumer electronics. However, unlike the "click-wrap" licenses common on downloadable software, which require the user to perform action that evidences acceptance of the terms of the contract, the "Prebate contract" was simply a

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[2] *Id.*; Static Control will keep its comments to this study limited to the issues detailed above and will address the specifics of the anti-circumvention issues in its comments to the concurrent Copyright Office § 1201 Study.
[3] *Id.* at 536 ("To the extent compatibility requires that a particular code sequence be included in the component device to permit its use, the merger and scenes a faire doctrines generally preclude the code sequence from obtaining copyright protection." (internal citation omitted).
[4] *Id.* at 544.
[5] *Id.* at 544.
[6] 17 U.S.C. § 140(c).
[7] *Lexmark Intern., Inc. v. Impression Products, Inc.,* App. No. 2014-1617, ___ F.3d ____ (Fed. Cir. Feb. 12, 2016) (en banc). En banc order available at 785 F.3d 565 (Fed. Cir. 2015).

label on a box.[8] By the clever use of labels, or packaging instructions, copyright holders can attempt to use their copyrights (or patent holders their patent rights) to prevent the resale or repair of products.

Agreements with end users are not bad per se, but both parties to the agreement must know and understand the terms to which they are agreeing. Breaches of these agreements should be enforceable in contract law only, not patent or copyright law. While companies spend money investing in creating products with embedded software, they should not be able to use single-use, no-resale and end user license agreements to restrict interoperability or competition. Allowing such a result hurts consumers who then lack choice in the market place and stifles innovation of companies lawfully repairing or remanufacturing products that will work with software embedded products.

IV. Conclusion

Static Control respectfully requests that the Copyright Office recommend to Congress the creation of legislation that will bring a set standard for end user license agreements, single-use agreements, and no-resale agreements so as not to stifle the innovation and creativity that the copyright law seeks to protect.

Respectfully submitted,

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[8] During the 2009 jury trial, Lexmark's own management was unable to discern exactly when the agreement was finalized – whether it was simply opening the box, using the cartridge or even what the exact terms meant.